As an investment philosophy, I like predictability. I also like simplicity. That's why I say *paying off your mortgage is the best investment you could ever make*. I'll break it down like this. In 2013, the average mortgage rate in this country was roughly 3.67 percent. Very few investments can *guarantee* that return. I mean *guarantee*. And in the last few volatile years, average investors took a serious hit in their portfolio. In other words, they lost money on the markets, while their homes slowly but steadily appreciated in value. In 2012, home values were appreciating at robust monthly growth rates, reaching the highest rate of appreciation since 2005. By the end of 2013, national home values are expected to appreciate by 1.1 percent, with substantially higher growth in some areas—*Forbes* predicts 9.9 percent appreciation in Phoenix and 6.1 percent in Miami.

Now keep in mind these are just predictions, and there have certainly been bad years as well. But home values tend to go up alongside inflation, which protects your money over the long term. Saying all that, by paying down your mortgage, you are almost guaranteed a positive return. But if there's one piece of advice you should take from this chapter, it's this: *There is no scenario in which you will be guaranteed a higher return on your investment than if you pay down your mortgage*. You are 100 percent guaranteed a return on investment. What other investment can you make that will guarantee that? So make eliminating your mortgage second on your list of things to do to retire richer. Eliminating debt is still number one.

Here's my favorite mortgage model in an economic environment in which interest rates are likely to rise: a five-year fixed-rate mortgage, but one that allows you to tackle a good chunk of the principal (up to 20 percent every year) without a penalty. You will save boatloads of money. You don't need a longer mortgage, because most people don't stay in their first homes for more than five years anyway. During the course of your mortgage, you're going to save as much as you can to hit your target, whatever maximum principal the mortgage allows you to pay down. That's your goal. Will you do it? Maybe, maybe not, but what a perfect way to monitor spending. You will begin to tell yourself *every dime not spent paying down that mortgage had better matter.*